MalikTrades

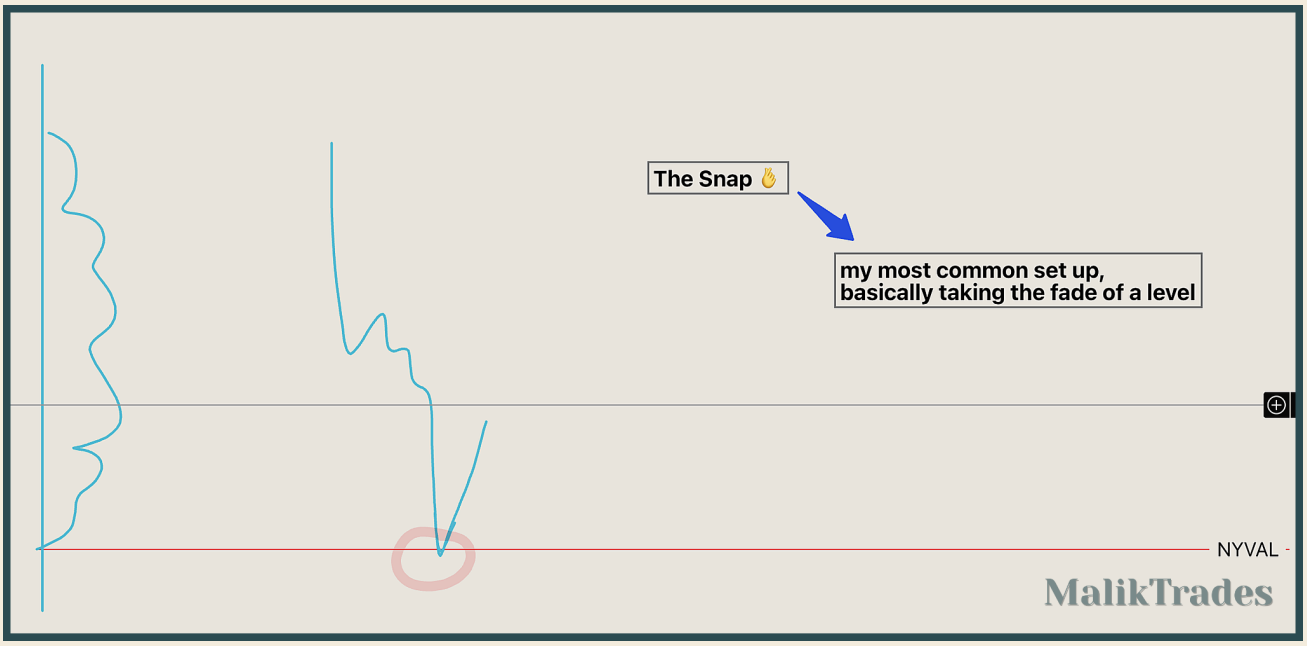
CORE SETUPS

The Snap · The Flip · The Magnet

SETUP 01

The Snap

Fading the level, back towards value.



> *My most common setup, basically taking the fade of a level.*

WHY IT WORKS

A level is a price the market has already done business at, so orders rest there and it carries a memory of value. Price normally arrives at one stretched away from value, and if the auction can't build volume past it, there is nobody left to push it further. The fade is a bet that the level holds and price rotates back to value.

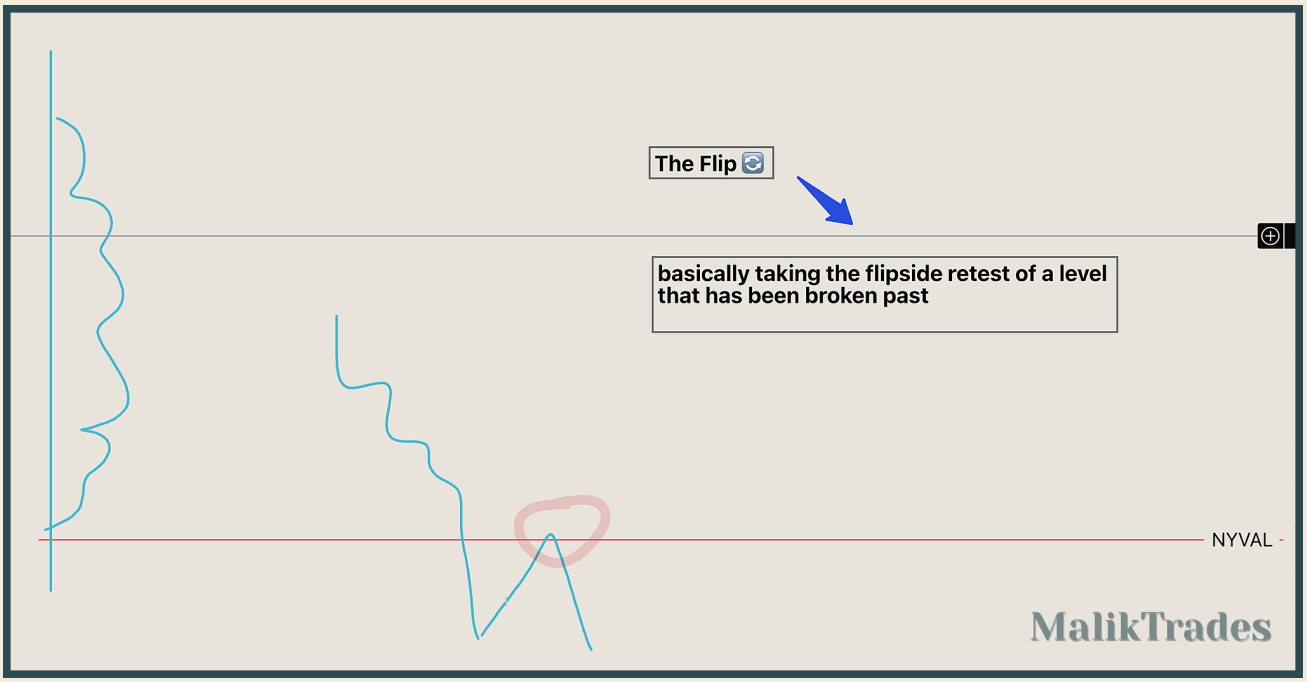
OPPOSITE SIDE EXAMPLE



SETUP 02

The Flip

The flipside retest of a broken level.

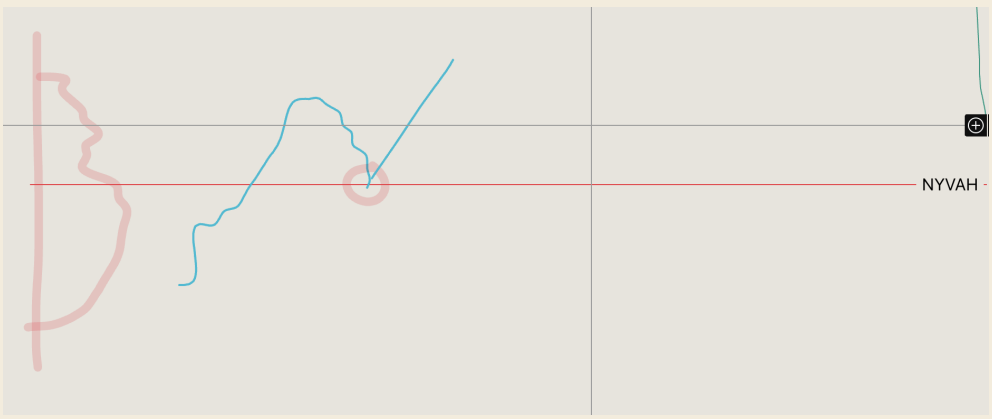


> *Basically taking the flipside retest of a level that has been broken past.*

WHY IT WORKS

When a level breaks and volume builds beyond it, the auction has accepted the new area and the side defending that level is now trapped on the wrong side of it. The level flips roles, and the retest is the cheapest entry into the move that has already proven itself.

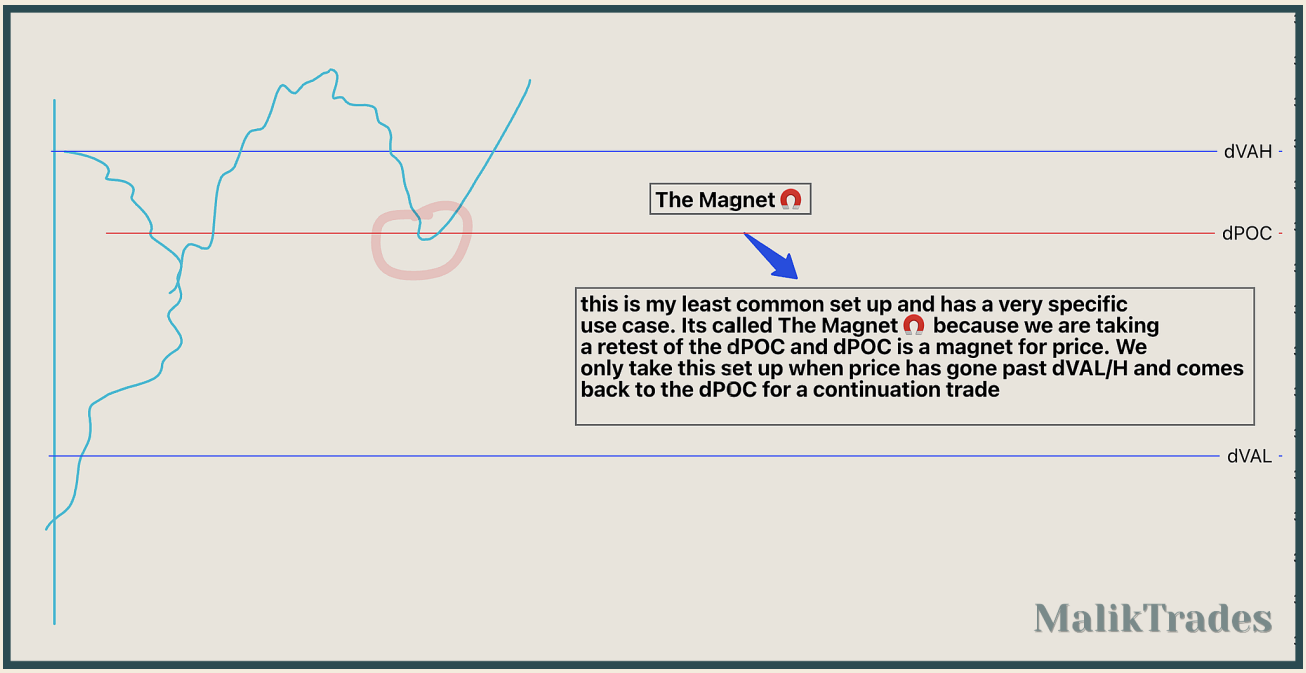
OPPOSITE SIDE EXAMPLE



SETUP 03

The Magnet

The dPOC retest, back to fair value.



> *This is my least common setup and has a very specific use case. It's called The Magnet because we are taking a retest of the dPOC, and the dPOC is a magnet for price. We only take this setup when price has gone past the dVAL/H and comes back to the dPOC for a continuation trade.*

WHY IT WORKS

The dPOC is the price the most business got done at, so it pulls price back to it. Once price has left the value area, that pull gives you a retest at fair value, and you take the continuation in the direction price already broke away.

OPPOSITE SIDE EXAMPLE

